

the plaintiff. These payments are reviewed under the criteria discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807. The plaintiff attests to spending about 30 hours time on the case. She also attests that by filing suit, she took a risk of being stigmatized by employers. Moreover, the agreement sets forth that these are in exchange for a general release. The aggrieved employees are not releasing their individual wage claims from the alleged violations at issue, but the named plaintiff is doing so. Thus, there is value to the additional release. All things considered, the Court approves the requested payment.

D. Conclusion

The Court finds that the settlement is fair, reasonable, and adequate, and **grants the motion to approve.**

Counsel are directed to prepare an order incorporating the provisions of this ruling.

In addition, the order should include a compliance hearing for a suitable date (after the settlement has been implemented), chosen in consultation with the Department's clerk. One week before the compliance hearing, counsel shall file a compliance statement. 5% of the attorney's fees shall be withheld by the Administrator pending the compliance hearing.

2. 9:00 AM CASE NUMBER: C23-02528
CASE NAME: FLUENCE ENERGY, LLC VS. DIABLO ENERGY STORAGE, LLC
HEARING ON SUMMARY MOTION ADJUDICATION
FILED BY: FLUENCE ENERGY, LLC
TENTATIVE RULING:

Before the Court is a motion for summary adjudication filed by plaintiff Fluence Energy, LLC (also "Fluence") against defendant, Diablo Energy Storage, LLC ("Diablo"). The motion is **granted**, as discussed below.

Background

This lawsuit arises from the construction of a battery storage facility known as the Diablo Energy Storage System pursuant to the terms of an amended and restated engineering, procurement, and construction agreement dated August 4, 2020 ("EPC Contract") between the owner, Diablo, and the general contractor, Fluence. (Separate Statement of Undisputed Material Fact, hereinafter "SSUMF," Fact No. 1, and Diablo's response.)

Fluence's performance under the EPC Contract began no earlier than January 1, 2020, and started on or about June 1, 2020. (SSUMF, Fact No. 6, and Diablo's response.) Since August 2023, Fluence has not invoiced for any work performed under the EPC Contract. (SSUMF, Fact No. 7, and Diablo's response.) Since August 2023, other than warranty work for which Fluence has not sought compensation, Fluence has not performed any work under the EPC Contract. (SSUMF, Fact No. 8, and Diablo's response.)

Since January 1, 2020 through October 1, 2025, Fluence has maintained continuous commercial general liability insurance coverage. (SSUMF, Fact Nos. 9-20, and Diablo's responses.) Shortly after each renewal of the commercial general liability policy in 2020, 2021, 2022, and 2023, the Contractors' State License Board ("CSLB") sent Fluence a "Notice of License Suspension" stating that the CSLB had not yet received the updated Certificate of Liability Insurance and that Fluence's

license was suspended. (SSUMF, Fact No. 21, and Diablo's response.) Each time the CSLB received a copy of Fluence's renewed insurance certificate for the CGL Policy, it sent Fluence a "Notice of License Reinstatement" and informed Fluence that the suspension on its license was lifted. (SSUMF, Fact No. 22, and Diablo's response.)

Fluence also had continuous workers compensation insurance coverage from January 1, 2020 through the present. (SSUMF, Fact Nos. 23, 25, 27, 29, 33, 37, 39 and Diablo's responses.) The CSLB was provided with the relevant certificates of insurance. (SSUMF, Fact Nos. 24, 26, 28, 30, 34, 38, and Diablo's responses.) Twice, in November of 2022, and in October of 2023, the CSLB sent notified Fluence that its license was being suspended based on non-receipt of a Workers' Compensation Certificate of Insurance, but the suspensions were retroactively lifted once the certificates were received approximately a month later on each occasion. (SSUMF, Fact Nos. 31-32, 35-36, and Diablo's response.)

Fluence obtained a commercial general liability umbrella insurance policy through its broker Marsh from Everest National Insurance Company prior to January 1, 2020, which provided Fluence with umbrella coverage for Fluence's contracting services for the period from January 1, 2020 to January 1, 2021, and the total aggregate policy limits under the Umbrella Policy were \$10,000,000. (SSUMF, Fact No. 40, and Diablo's response.) At all times since January 1, 2020, Fluence has maintained, through annual renewals, the Umbrella Policy in the amount of at least \$10,000,000 above the CGL Policy and above the Employer's Liability included in the WC Policy and all subsequent renewals of the WC Policy. (SSUMF, Fact No. 41, and Diablo's response.)

A Certified License History from the CSLB's Custodian of Records indicates no suspensions, and suggests the license was in effect continuously, during the period from January 1, 2020 through April 17, 2025. (SSUMF, Fact No. 42, and Diablo's response.) The CSLB form for requesting a Certified License History states that the Certified License History contains "the standing of the license at all times during the period covered by the certificate" and "is admissible in court as prima facie evidence of the facts stated on the certificate." (SSUMF, Fact No. 44, and Diablo's response.) While it is undisputed that no suspensions are reflected in the license history, Diablo contends that the history omits CSLB's action in suspending Fluence's license six times for failure to timely submit certificates of insurance. (SSUMF, Fact No. 45, and Diablo's response.)

In sum, parties dispute the legal significance of the notices from the CSLB regarding license suspension for Fluence's failure to timely provide evidence of coverage to the CSLB, likening these notices to "citations" or "admonishments." (SSUMF, Fact Nos. 46-47, and Diablo's responses.)

Diablo and Fluence entered into an Energy Storage System Services Agreement dated August 17, 2020 (the "Services Agreement") pursuant to which Fluence agreed to perform repairs, maintenance, and other services on the Project in exchange for specified fees. (SSUMF, Fact No. 48, and Diablo's response.)

On October 26, 2023, Fluence filed its complaint. It later amended the complaint in March of 2024 by way of a First Amended Complaint ("FAC"), alleging four causes of action against Diablo: (1) breach of contract, (2) reasonable value of services, equipment, and materials, (3) enforcement of statutory mechanics lien release bond, and (4) breach of statutory duty. Diablo had already answered the original complaint on November 13, 2023, asserting seventeen affirmative defenses, but did not answer the amended complaint. However the parties had stipulated to the November 13, 2023 answer serving as Diablo's responsive pleading to the FAC, and Judge Treat signed an order to that effect on March 1, 2024.

Diablo also cross-complained against Fluence. Diablo's currently operative cross-complaint, the First Amended Cross-Complaint ("FAXC"), alleges breach of contract and two disgorgement causes of action against Fluence. Diablo alleges, in its second and third causes of action, that Fluence violated California's Business & Professions Code § 7031(b), which requires disgorgement against a contractor that fails to maintain a valid license at all times during the performance of a contract. Diablo alleges Fluence failed to maintain a valid license at all times during performance of both the EPC Agreement as well as the Services Agreement. Fluence has generally denied all material allegations in the FAXC.

Motion and Opposition

On July 18, 2025, Fluence filed this motion for summary adjudication, contending it is entitled to judgment on (1) Diablo's second cause of action for "Disgorgement of all compensation received under the EPC Agreement," (2) Diablo's third cause of action for "Disgorgement of all compensation received under the Services Agreement," and (3) Diablo's first affirmative defense for "Violation of Licensing Law." These issues, according to Fluence, boil down to the single question of whether its license was ever suspended in light of its continuous insured status, and in light of the only grounds for any purported suspension being the lack of insurance.

In support of the motion, Fluence submits its SSUMF, supported by a request for judicial notice, an appendix of evidence, and declarations from its counsel (Sean-Thomas P. Thompson), its Director of Insurance and Global Risk (Sarah J. Iamele), its VP of Engineering and Construction (Dauren Kilish), and its Commercial Finance Manager (Heidi Rivera).

Diablo opposes the motion, providing in support a response to the SSUMF and a declaration from its attorney, David Wallach.

Evidentiary Matters

Fluence requests judicial notice of the following documents:

- 1) The initial complaint filed on October 6, 2023 - Exhibit 1 to the Appendix of Evidence in Support of Fluence's Motion for Summary Adjudication ("AOE").
- 2) The answer by Diablo, filed on November 10, 2023 – AOE Exhibit 2.
- 3) The FAXC by Diablo, filed on June 21, 2024 - AOE Exhibit 3.
- 4) Contractors License Detail (Personnel List) for License Number 1042153, obtained on July 15, 2025 from the website of the California Department of Consumer Affairs, Contractors State License Board – AOE, Exhibit 5.
- 5) Certified Copies of File License Number 1042153, provided and certified by the California Department of Consumer Affairs, Contractors State License Board, dated June 26, 2025 – AOE Exhibit 6.
- 6) Certified License History for License Number 1042153, provided and certified by the California Department of Consumer Affairs, Contractors State License Board, dated April 17, 2025 - AOE Exhibit 7.
- 7) Contractors License Detail (Liability Insurance History) for License Number 1042153, obtained on July 15, 2025 from the website of the California Department of Consumer Affairs, Contractors State License Board – AOE Exhibit 18.
- 8) Public Complaint Disclosure Definitions, obtained on July 15, 2025 from the website of the California Department of Consumer Affairs, Contractors State License Board – AOE Exhibit 19.
- 9) Contractors License Detail (Complaint Disclosure) for License Number 867326), obtained

on July 15, 2025 from by the website of the California Department of Consumer Affairs, Contractors State License Board– AOE Exhibit 20.

- 10) Contractors License Detail (main page) for Fluence, License Number 1042153, obtained on July 15, 2025 from the website of the California Department of Consumer Affairs, Contractors State License Board- AOE Exhibit 38.

Diablo has filed a “partial opposition” to the request. Diablo argues that, to the extent the request seeks notice of the truth of statements contained in the above items 4-10, they are not judicially noticeable. Judicial notice is a substitute for formal proof. Its consequence is to establish a fact as indisputably true, eliminating the need for further proof. (See *Post v. Prati* (1979) 90 Cal.App.3d 626, 633.) Hence, the general rule dictates that a matter is subject to judicial notice only if it is reasonably beyond dispute. (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113.)

While the Court agrees with respect to the general concept that judicial notice does not establish the truth of hearsay, if otherwise the factual matters are not contested, this is not a reason to deny judicial notice, but merely to limit the effect where necessary.

The request is **granted**.

Standard

A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. (Code Civ. Proc., § 437c (f)(1).) A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. (*Ibid.*) A motion for summary adjudication may be made by itself or as an alternative to a motion for summary judgment and shall proceed in all procedural respects as a motion for summary judgment. (Code Civ. Proc., § 437c (f)(2).)

For purposes of both motions for summary judgment and motions for summary adjudication, a plaintiff’s burden consists of showing that there is no defense to a cause of action, and the plaintiff meets this burden by proving each element of the cause of action. (Code Civ. Proc., § 437c (p)(1); see also *Paramount Petroleum Corp. v. Superior Court* (2014) 227 Cal.App.4th 226, 239-240.) Only where plaintiff satisfies this initial burden does the burden shift to the defendant to showing a triable issue of material fact exists as the cause of action or a defense thereto. (Code Civ. Proc., § 437c (p)(1).)

Discussion

Fluence argues it maintained a valid California General Engineering Contractor’s License during the entirety of its performance of the EPC Agreement and during its performance of the Services Agreement, and therefore, Diablo’s second and third causes of action in the FAXC, as well as its first affirmative defense in its Answer, have no merit.

Pursuant to Business and Professions Code, section 7031, subdivision (d), if licensure is controverted, proof of licensure “shall be made by production of a verified certificate of licensure from the Contractors State License Board.”

Fluence, in support of its position that its license was valid for all relevant periods, offers the

“verified certificate” from the Contractors State License Board referred to in Business and Professions Code, section 7031. The certificate indicates it covers the period from January 1, 2020 through April 17, 2025 (the date on which the certification was made). The document contains no indication that the license was suspended at any point in that period. The form by which the certificate was requested appears on the fifth page of the same exhibit to the Appendix of Evidence (Exhibit 7) and states that the verified history on the certified license history form contains “the standing of the license at all times during the period covered by the certificate.” As set forth in the motion, this verified certificate creates a “rebuttable presumption” that Fluence was properly licensed and shifts the burden to Diablo to rebut the presumption. (See Cal. Evid. Code, § 602.)

Diablo’s “disputes,” as to many of the facts offered by Fluence are not supported by evidence. Many are further not material to the issues here. Diablo’s “disputes,” as to facts reflected on the verified certificate, do not cite any additional evidence and simply argue that the certificate does not support the facts for which it is offered. (See SSUMF Fact Nos. 42-44.) This is essentially an argument that Fluence fails to meet its initial burden on the motion. The Court disagrees. The certificate, which contains no statements that the license was ever suspended, is sufficient for Fluence to meet its initial burden to demonstrate licensure from January 1, 2020 through April 17, 2025.

With respect to Diablo’s burden to further demonstrate material factual disputes, Diablo points to the various letters apparently issued by the Contractors State License Board concerning purported license suspensions, as well as a purported screenshot of the Board’s website showing a suspension on November 10, 2023. (See Additional Material Fact Nos. 66-73; Wallach Decl., Ex. 4.) The evidence does not amount to a material factual dispute. These documents reflect snapshots specific to the moment in time that they were created and do not take into account any information later acquired by the CSLB.

The notices and internet screenshot, in light of the reinstatement letters, are immaterial and do not contradict the legal effect of the verified certificate. (See, e.g., AOE Ex. 6, p. 25 [Notice of License Reinstatement at page 202 of AOE pdf].) Diablo, for its part, has conceded there was no lapse in insurance coverage. Its own evidence indicates delays related to the submission of *proof* of coverage, not any actual deficiency in coverage. These delays in proof could be attributable to third parties and do not violate any particular statutory time-frame for submitting proof and therefore maintaining licensure. For example, Exhibit 5 to the Wallach Declaration suggests the CSLB took time in administrative “processing” / “updat[ing],” and that the insurance broker could have been responsible for the delay in mailing any certificate of coverage. (See Wallach Decl., Ex. 5, p. 2.)

The relevant statutory provision underlying the “notices of suspension” is Business and Professions Code, section 7071.19, which provides, in subdivision (a), that an LLC must “maintain” liability insurance. Subdivision (g) requires a licensee to submit a Certificate of Liability Insurance and requires the insurer to report the “name, license number, policy number, dates that coverage is scheduled to commence and lapse, the date and amount of any payment of claims, and cancellation date if applicable” on the licensee’s policy.

None of the requirements in Business and Professions Code, section 7071.19 mention suspension or a timeframe during which the Certificate of Liability must be submitted. Accordingly, the notices relied on by Diablo, and upon which Diablo rests its disgorgement claims, do not rebut the presumption created by the verified certificate as a matter of law.